
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager 
DATE: December 17, 2024
SUBJECT: Grazing Lease Agreement between the City of Cheyenne and Wyoming Cattle Company for the Belvoir Ranch Grazing Lease

One (1) Proposer responded to Request for Proposal (RFP) #2-25, for the Belvoir Ranch Grazing Lease.

The proposal was received from:

1. Wyoming Cattle Company (Pine Bluffs, Wyoming)

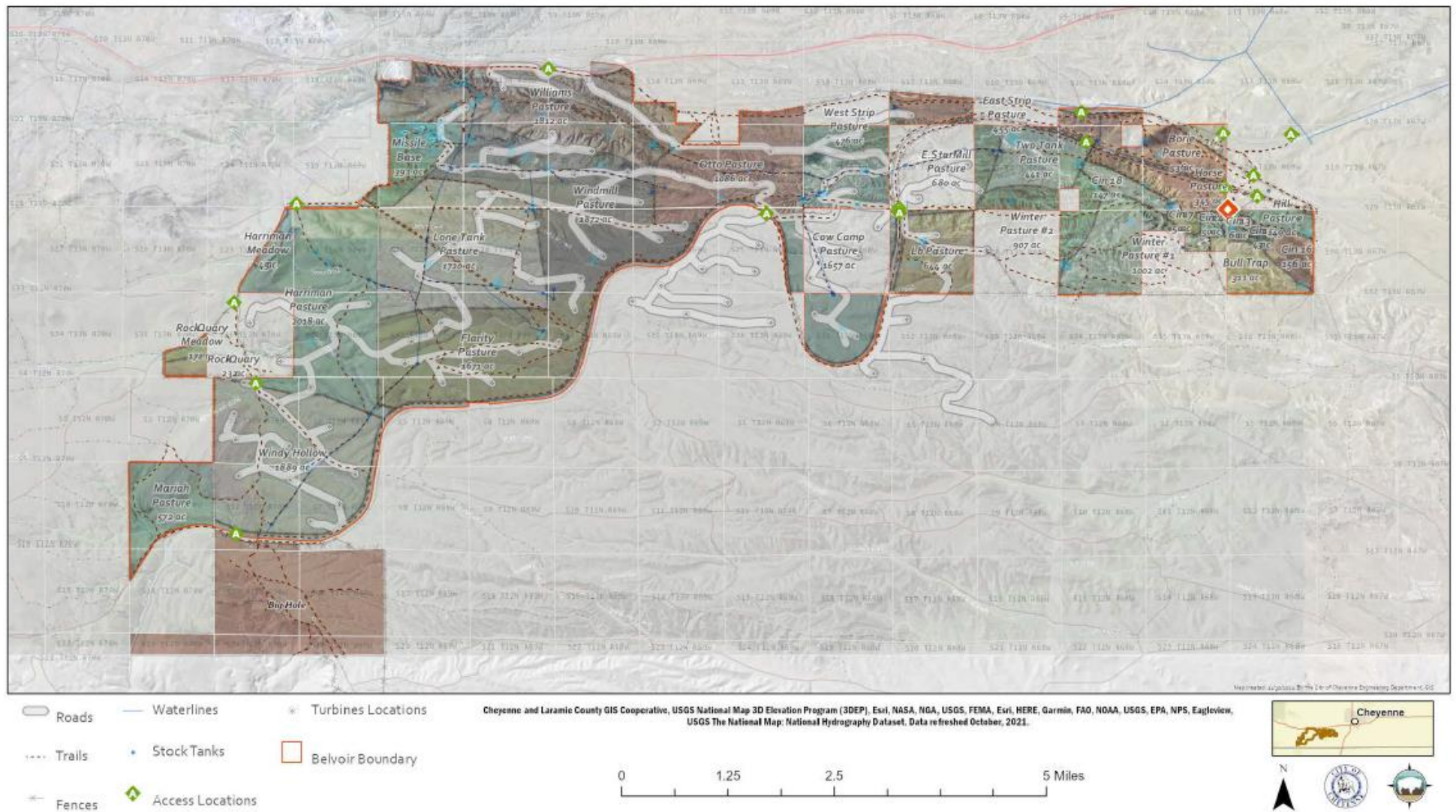
Upon review of the proposal by the evaluation panel, (Vicki Nemecek, Craig LaVoy, Adele Barel, Carl Zunker), the group has recommended acceptance of the proposal submitted by Wyoming Cattle Company.

Basis for award was based on a Qualifications and Cost based review and scoring of proposals.

The annual lease payment to the City is \$210,000.00 per year, for each year the Grazing Lease is in place.

Funding: ***Revenue to the City***

Belvoir Ranch



CONTRACT # _____

GRAZING LEASE AGREEMENT

This BELVOIR GRAZING LEASE (this "Lease") is made and entered into this _____ day of _____, 2025, by and between CITY OF CHEYENNE, WYOMING, the mailing address of which, for purposes of this Lease, is MUNICIPAL BUILDING, 2101 O'NEIL AVENUE, PUBLIC WORKS OFFICE, ROOM 207, CHEYENNE, WYOMING 82001 ("Lessor") and WYOMING CATTLE COMPANY the mailing address of which, for purposes of this Lease, is 1251 COUNTY ROAD 157, PINE BLUFFS, WYOMING 82082 ("Lessee").

1. Leased Premises. For and in consideration of the promises, covenants, and agreements hereinafter set forth to be kept and performed by Lessee, its successors and assigns, Lessor, for the term hereinafter set forth, does hereby lease, demise, and let unto Lessee, for grazing purposes, the parcel of real estate situated in the County of Laramie, State of Wyoming, as shown on attached Pasture Map, Exhibit "A" attached hereto and incorporated herein by this reference (the "Leased Premises"). The Leased Premises shall include the pastures Identified on the Belvoir Ranch map with the exception of the Rim Pasture and the Big Hole. The Leased Premises shall include improvements and fixtures of a permanent nature located on or appurtenant to the Lease Premises.

Lessee shall be entitled to graze not more than one thousand and fifty (1,050) animal unit months (AUM)'s annually on the Leased Premises pursuant to this Lease except as otherwise mutually agreed in writing by both parties.

2. Exclusions. The Lease Premises shall not include, and Lessor expressly reserves, any and all hunting and other recreational privileges; provided, however, that the exercise of any such reserved privileges by Lessor or its assigns shall not unreasonably interfere with Lessee's use of the Leased Premises as a grazing pasture. Similarly, the Leased Premises shall not include, and Lessor expressly reserves, all coal, oil, gas, other minerals and water located in, under and to be produced from the Leased Premises or any part thereof, it being mutually agreed the Lessee, its successors and assigns, grants to Lessor the right to enter in and upon the surface of the Leased Premises for the purpose of operation, development and production of such minerals and water and shall allow Lessor to use the Leased Premises or any part thereof as shall be required for buildings, tanks, pipelines, fixtures, and equipment in connection herewith. Furthermore, Lessor, and any architects, engineers or other agents, independent contractors, or employees or Lessor, shall have the right, at any time during the term of this Lease, and from time to time, to enter upon the Leased Premises, to show the Leased Premises, to make soil and water tests, to survey the Leased Premises, to acquire engineering and other data with respect to the Leased Premises, and/or to install utility lines or facilities over, under, or across the Leased Premises. In the event

that damage is caused to the surface of the Leased Premises, or to Lessee's livestock, as a result of Lessor's activities, Lessor shall adjust the Lessee's lease payment accordingly.

- A. The Belvoir Ranch was purchased by the City of Cheyenne in response to the need to site a new landfill and develop ground water resources. (A landfill will not be placed on the Belvoir Ranch for the foreseeable future since the expansion of the current landfill.) While development of ground water resources is a future development (potentially years away), City investigative work could be ongoing on ranch property. These activities by the City and/or its agents will have priority for land use. Very little impact is anticipated to the grazing opportunities.
 - B. Portions of the Ranch may be developed for non-motorized recreational activity. This would most likely take place in the southwestern portion of the Ranch and consist of a trail from the State section adjacent to Harriman Road to the "Big Hole." Minimal impact on grazing is anticipated; however, the grazing lease may be renegotiated to accommodate this development.
3. Term of Lease. This Lease shall be for a term of three (3) years commencing on the date hereof and expiring October 31, 2027.
- Upon written request by the Lessee, Lessor may extend the Lease for three (3) additional three (3) year periods. Requests shall be submitted by written notice to Lessor 90 days before the scheduled expiration of the Lease. Any such extension shall be on the same terms and conditions as set forth in the Lease or renegotiated by mutual agreement. Any Agreement by the Lessor to so extend shall be conditioned upon Lessee not being in default at the time of giving such notice or at the commencement of the extended term and that Lessee has practiced good stewardship of the property and facilities as determined by the Lessor.
4. Rental. Annual rental for this Lease shall be in the amount of Two Hundred Ten Thousand Dollars (\$210,000.00) which rental shall be payable as follows:
- A. The sum of One Hundred, Five Thousand Dollars (\$105,000.00) shall be due and payable upon stock arrival or before June 15, each year. (1/2 of total, adjusted as necessary to reflect actual number of head of stock allowed).
 - B. The remaining sum of One Hundred, Five Thousand Dollars (\$105,000.00) (1/2 of total amount) shall be due and payable upon stock removal or before October 31, each year.
 - C. Annual Rental is based on a standard of 1050 AUMs annually at Forty Dollars (\$40.00) per AUM.

- D. The Lessee will graze and pay for a minimum of 1050 AUMs annually unless the City determines a lower number or timeframe based on the condition of the pasture. Lessee will pay for actual use determined by AUM and time on the range.
 - E. Lessor shall pay state lease fees and any real and personal property taxes which are assessed against the Leased Premises during the term of this Lease, and all water assessments, fees and related charges.
 - F. Lessee shall pay any personal property taxes with respect to Lessee's personal property and chattels. In addition, Lessee shall pay all expenses normally associated with grazing operations incurred by Lessee in connection with its use of the Leased Premises.
5. Ranching Methods. Lessee shall use the Leased Premises for grazing and related purposes only. Lessee agrees to follow the best grazing, ranching, and husbanding practices prevailing and shall operate the Leased Premises in good, first class, and workmanlike manner in such a way as to not damage or harm the grass plants growing thereon by over grazing. Lessor shall bear the expense of chemicals for spraying of noxious weeds and shall be responsible for all spraying and application costs. Lessee shall conduct all of its operations on the Leased Premises in full compliance with all applicable federal, state or local laws, rules, regulations and ordinances.
6. General Stipulations
- a. Summer grazing normally allowed May through October depending on range conditions except as otherwise mutually agreed in writing by both parties.
 - b. Range conditions permitting, no more than 1050 AUMs total annually will be allowed on the property. This number could be less depending on range and water availability.
 - c. Pasture use will follow a time frame as established by the Lessor in consultation with the Laramie County Conservation District. Livestock will not be allowed to be moved without the express permission of the Lessor through the Ranch Manager.
 - d. It is the sole responsibility of the Lessee to monitor and move cattle as required. The Ranch Manager will provide oversight only.
 - e. Veterinary care, medicines, and supplies and any salt or minerals will be the responsibility of the Lessee.
 - f. The Lessor will not be responsible for any "death loss".
 - g. Lessor will provide access to water. However, it is the Lessee's responsibility to check and ensure the availability of water to cattle. Lessee shall notify Lessor in case of a broken waterline in a timely manner. Hauling water is the responsibility of the Lessee until the Lessor is able to repair the waterline.

- h. Maintenance of corrals, fences, stock tanks and any other ranch facilities relating to grazing operations will be the responsibility of the Lessee. However, major repairs of the water systems, pumps, and wells will be made by the Lessor. Lessee is responsible for the full repair of any damage caused to ranch facilities by Lessee's operations. Access to property will be provided at least 30 days prior to stock arrival for site preparation. Gates will be kept closed at all times.
 - i. Lessee may operate ATVs for cattle management. Lessee assumes all liability related to such activities.
 - j. **All dates of use, pasture locations, and maximum numbers of head of stock will be determined by the Lessor. The decisions will be based on range conditions at the time. Lessor reserves the right to determine, under any contingent circumstances (such as flood, fire, drought, etc.), when and how many head of stock the range can carry at any given time and reserves the right to require immediate reduction or removal of livestock to those numbers deemed appropriate by the Lessor.**
 - k. A City employee functioning as a ranch manager will be living on-site and be the main point of contact between the Lessee and Lessor. This person will oversee the arrival and removal of all livestock and coordinate the lease agreement activities.
7. Maintenance. To the extent normally associated with grazing of livestock, Lessee shall keep the Leased Premises and all improvements thereon, including, but not limited to, fences, and corrals, in their current state of order and repair. Lessee will control soil erosion as completely as practicable. Lessee shall commit no waste and shall surrender the Leased Premises at the end of termination of this Lease in as good a condition as they are now, excepting wear and tear.
8. Termination of Lease. This lease may be terminated by either party, with written notice provided not later than October 31 prior to the year the lease is to be terminated.
9. Removal of Lessee's Property. On or before **OCTOBER 31, OF EACH YEAR**, without regard to whether Lessee has requested an extension of the term of this Lease, Lessee shall remove from the Leased Premises all livestock, and all items of personal property and equipment belonging to Lessee unless otherwise mutually agreed in writing by both parties.
10. Insurance Requirements. The Lessee must provide proof of the following insurance coverages, to be in force while occupying the Leased Premises:

Farm and Ranch Personal Lines Liability Insurance

For claims arising out of bodily injury, illness or death, or from damage to or destruction of property of others, including loss or use thereof, with minimum limits of \$250,000 per claimant, \$500,000 per occurrence for the entire term of the contract.

Business Automobile Insurance

Including owned, non-owned and hired vehicles with minimum limits for bodily injury and property damage of \$500,000 per occurrence for the entire term of the contract.

Workers' Compensation

Workers' Compensation coverage shall be in effect, as required by Wyoming law, for all employees or agents providing services under this agreement. Lessee shall provide the Lessor with proof of workers' compensation or employer's liability insurance coverage.

Additional Insurance Information

The Lessee shall name the City of Cheyenne as an **Additional Insured** by endorsement on its insurance policies, with the exception of worker's compensation, and shall provide the City with a copy of the endorsements. Lessee shall provide the City with certificates of insurance acknowledging the above-stated coverages prior to beginning any work under this agreement. It is understood and agreed that these policies are primary and not contributory. All insurance certificates provided by Lessee must include a clause stating that the insurance may not be canceled, amended or allowed to lapse without at least thirty (30) days advance written notice to the City of Cheyenne. In addition, Lessee shall provide the City with copies of insurance policies and /or policy endorsements listing the City of Cheyenne as an additional insured. The City's failure to request or review such policies, endorsements, and certificates shall not affect the City's rights or Lessee's obligation hereunder. Any insurance company providing coverage under this agreement shall have a minimum A.M. Best rating of A- (excellent).

11. Governmental Immunity. The City of Cheyenne expressly reserves the right to invoke governmental immunity for any claim arising out of this Lease pursuant to the Wyoming Governmental Claims Act, Wyo. Stat. §1-39-101, *et seq.*
12. Mechanic's Liens. Lessor shall not, under any circumstances, be liable for the payment of any expenses incurred or for the value of any work done or materials furnished to the Leased Premises by Lessee. All such work shall be at Lessee's expense, and Lessee shall be solely responsible to the contractors, laborers, and materialmen furnishing labor and material to the Leased Premises.

13. Right to Inspect. Lessor reserves the right for itself, its agents, employees, contractors and representatives, at any and all times to enter upon the Leased Premises, to inspect the Leased Premises, and to protect itself against loss occasioned by any negligence or neglect of Lessee.
14. Illegal Use. Lessee agrees not to use or permit the Leased Premises to be used for any unlawful or illegal business or purpose.
15. Default by Lessee. If Lessee shall default in its obligations to make due and punctual payment of any rent or additional payments required to be paid by Lessee under this Lease, or if Lessee shall fail to perform any other obligations assumed by it under this Lease, Lessor may give written notice to Lessee, specifying the nature of the default, stating that this Lease shall expire on the date specified in such notice, which shall be at least ten (10) days after the giving of such notice; and upon the date specified in such notice, this Lease and all of the rights of Lessee hereunder shall terminate, except as expressly provided otherwise herein. It is agreed that if Lessee shall fail to pay any installments or rent when due and such failure shall continue for a period of ten (10) days following the due date, said installment of rent shall bear interest at the rate of ten percent (10%) per annum until paid. Lessor reserves the right to make any payments or perform any action required hereunder by Lessee (but shall not be required to do so); and all amounts so expended by Lessor, together with interest at the rate of ten percent (10%) per annum, shall be immediately due and payable by Lessee to Lessor. In lieu of the right of Lessor to terminate this Lease in the event of a default by Lessee, Lessor shall have the right, at his election, to reenter and take possession of the Leased Premises; and Lessee shall peaceably vacate the Leased Premises. In such event. Lessee shall remain liable for all unpaid rentals for the remaining term of this Lease. If Lessor elects to reenter as provided herein without terminating this Lease, Lessor may, from time to time, without terminating this Lease, relet the Leased Premises or any part thereof for such term or terms, and at such rental or rentals, and on such terms and conditions as Lessor may deem advisable. No such reentry or taking of possession of the Leased Premises by Lessor shall be construed as an election on Lessor's part to terminate the Lease unless written notice of termination is delivered to Lessee by Lessor. In the event of such repossession, Lessee shall pay to Lessor, as current liquidated damages, the then value of the rent and other sums payable under the terms of this Lease as if such repossession had not occurred; less the net proceeds, if any, of any reletting of the Leased Premises after deducting all of Lessor's expenses in connection with such reletting, including, without limitation, all repossession costs, brokerage commissions, legal expenses, attorney's fees, and expenses or repair and preparation of the Leased Premises for such reletting.

16. Attorney's Fees and Costs. In the event either if the respective parties hereto shall default in any of its covenants or obligations herein provided and the party not in default commences legal or equitable action against the defaulting party, each party expressly agrees to pay their own expenses and attorney's fees of said litigation.
17. Assignment. It is agreed and understood that this agreement shall not be assigned, nor shall any portion of the Leased Premises be sub-let in whole or part of Lessee.
18. Notices. Any notice or other communication given by either party to the other relating to this Lease shall be in writing, and shall be delivered in person, sent by certified mail, return receipt requested, sent by reputable overnight courier, to such other party at the respective addressed set forth below (or at such other address as may be designated from time to time by written notice given in the manner provided herein). Such notice shall, if hand delivered or personally served, be effective immediately upon receipt. If sent by certified mail, return receipt requested, such notice shall be deemed given on the second business day following deposit in the United States mail, postage prepaid and properly addressed; if delivered by overnight courier, shall be deemed effective on the first business day following deposit with such courier.

If to Lessor, to:

City of Cheyenne, Wyoming
2101 O Neil Avenue
Public Works Department, Room 207
Cheyenne, Wyoming 82001

If to Lessee, to:

Wyoming Cattle Company
1251 County Road 157
Pine Bluffs, Wyoming 82082

19. Binding Effect. This Lease shall be binding upon and inure to the benefit of the parties hereto and their respective successors and assigns.
20. Site Inspection. Lessee agrees that Lessee was given the opportunity to take a tour of the ranch prior to submitting Lessee's successful bid. Lessee hereby leases the premises and those improvements which are part of the Leased Premises in their current "AS IS" condition. Lessor has made no warranties or guarantees regarding the condition of the Leased Premises, nor its productive capabilities.

21. Indemnification Hold Harmless. Each party agrees to be responsible for any loss, claims, damages, or demands resulting from their individual negligence. The City does not waive defenses available to it under the governmental claims act.
22. Compliance with Laws. The parties covenant and agree that they will perform their obligations as provided in the lease in accordance with all applicable laws and ordinances.
23. Independent Contractor. The Lessee shall function as an independent contractor for the purpose of this agreement. The Lessee shall assume sole responsibility for any debts or liabilities that may be incurred by the Lessee in fulfilling the terms of this agreement. Nothing in this agreement shall be interpreted as authorizing the Lessee or its agents or employees to act as an agent or representative of or on behalf of the City of Cheyenne or to incur any obligation on behalf of the City of Cheyenne.

IN WITNESS WHEREOF, the parties hereto have executed this Belvoir Ranch Grazing Lease Agreement as of the day and year first above written.

City of Cheyenne

(SEAL)

By: _____
Patrick Collins, Mayor

Attest:

Kristina F. Jones, City Clerk

Date: _____

Lessee
Wyoming Cattle Company

By: _____

Print Name: _____

Date: _____